SUBSCRIPTION AGREEMENT

Series A investment in Kestrel Software Ltd

Dated 23 October 2026

Parties

(1) **KESTREL SOFTWARE LTD**, a company registered in England and Wales (company number to be inserted) whose registered office is at Kingfisher Yard, 22 Ropewalk, Marlbridge WX6 1KS (the **Company**);

(2) **INES KOWALCZYK** and **TOBIAS WREN**, each of whose address is to be inserted (together the **Founders** and each a **Founder**);

(3) **MERROWDOWN VENTURES LLP**, a limited liability partnership registered in England and Wales (partnership number to be inserted) whose registered office is at Tidewater House, 31 Dockside, Marlbridge WX1 5DR (**Merrowdown**); and

(4) **PELLRIDGE CAPITAL PARTNERS LP**, a limited partnership registered in England and Wales (registered number to be inserted) whose principal place of business is at 6 Hollin Gate, Marlbridge WX2 4LT (**Pellridge**). Merrowdown and Pellridge are together the **Investors** and each an **Investor**.

Background

(A) The Company develops and sells Kestrel Rota, a staff-scheduling service for care homes and clinics, and the desktop scheduler app that goes with it (the **Business**).

(B) The Investors have agreed to subscribe for Series A Shares in the Company, and the Company and the Founders have agreed to give the promises in this agreement, on the terms below.

Terms

1. Meanings

1.1 In this agreement:

Annual Salary: a Founder's gross yearly salary under his or her service agreement with the Company on the day a claim is notified

Articles: the articles of association of the Company, in the form agreed between the parties, to be adopted at Completion

Business Day: a day other than a Saturday, a Sunday or a public holiday in England

Completion: the doing of everything clause 4 requires

Disclosure Letter: the letter from the Company and the Founders to the Investors, delivered at Completion, that discloses matters against the Warranties

Series A Shares: the Series A preferred shares in the capital of the Company, with the rights set out in the Articles

Subscription Price: £1.60 for each Series A Share

Warranties: the statements in Schedule 2

2. Subscription

2.1 At Completion each Investor shall subscribe for the number of Series A Shares set against its name in Schedule 1, at the Subscription Price, and the Company shall allot them to it, free from any lien, charge or other third-party right.

2.2 Each Investor shall pay its subscription money, in cleared funds and by electronic transfer, to the Company's bank account, whose details the Company shall give the Investors in writing before Completion. The Investors' obligations are several: each is liable only for its own subscription.

3. Conditions

3.1 Completion is conditional on:

(a) the shareholders of the Company passing a special resolution that adopts the Articles, and either waiving their rights of pre-emption on the allotment of the Series A Shares or having them disapplied;

(b) the board of the Company approving this agreement and the allotment of the Series A Shares;

(c) the Company holding a signed written assignment to it of the copyright and other rights in all software written for the Business by anyone who was not employed by the Company when writing it; and

(d) the Warranties being true and not misleading at the date of this agreement and at Completion, and there being no material change in the Business since the date of this agreement.

3.2 The Investors may together waive the conditions in clause 3.1(c) and (d), wholly or in part, by written notice to the Company.

3.3 The parties shall do all they reasonably can to satisfy the conditions as soon as they can. If any condition is not satisfied or waived by 13 November 2026, any party may end this agreement by written notice. No party then has any claim against another, except for a breach of this agreement before that date.

4. Completion

4.1 Completion shall take place by video conference on 23 October 2026, or on any later Business Day on which the conditions in clause 3.1 have been satisfied or waived and which the parties agree in writing.

4.2 At Completion the Company shall deliver to the Investors:

(a) a copy of the minutes of a board meeting of the Company, signed by its chair, that approve this agreement, allot the Series A Shares on receipt of the subscription money, and appoint Felix Amberley as a director from Completion;

(b) a copy of the shareholders' resolution adopting the Articles, and the Articles as adopted;

(c) Felix Amberley's signed consent to act as a director; and

(d) the Disclosure Letter, signed by the Company and each Founder.

4.3 At Completion each Investor shall pay its subscription money as clause 2.2 requires.

4.4 Within ten Business Days after Completion the Company shall issue a share certificate to each Investor, bring its registers up to date, and file at the companies registry the return of allotment, the Articles and the notice of Felix Amberley's appointment, within the time the law allows.

5. Warranties

5.1 The Company and each Founder warrants to each Investor that each Warranty is true and not misleading at the date of this agreement, and will be at Completion, except for what the Disclosure Letter fairly discloses.

5.2 Each Warranty is separate. An Investor may not recover more than once for the same loss.

5.3 If a party finds before Completion that a Warranty is or may be untrue, it shall tell the others at once.

6. Limits on claims

6.1 The Investors may not claim for a breach of the Warranties unless they notify the claim to the Company and the Founders, in writing and in reasonable detail, within 24 months after Completion.

6.2 A claim, or a series of claims arising from the same facts, may be made only if the loss it covers is more than £5,000.

6.3 Each Founder's total liability for all claims under this agreement, other than for his or her own fraud, shall not be more than one and a half years' Annual Salary.

6.4 A Founder is not liable for anything fairly disclosed in the Disclosure Letter.

6.5 Nothing in this clause limits anyone's liability for fraud.

7. Non-competition by the Founders

7.1 Each Founder promises the Company and the Investors that for 12 months after he or she stops being

both a director and an employee of the Company, he or she shall not, in the United Kingdom, carry on or be engaged or interested in a business that supplies staff-scheduling software to care homes or clinics in competition with the Business. This does not stop a Founder holding up to 3% of the shares of a company listed on a stock market.

7.2 For the same 12 months a Founder shall not try to take away from the Company any customer he or she dealt with in the last 12 months of his or her employment, or employ or engage anyone who worked for the Company in that time, other than in reply to a general advertisement.

7.3 Each restriction in this clause is separate. If a court finds that one goes further than it should, the others still apply.

8. The board and matters needing consent

8.1 From Completion Merrowdown may appoint, and remove, one director of the Company (the **Investor Director**). The first Investor Director is Felix Amberley.

8.2 From Completion Pellridge may appoint one person as an observer. The observer may attend and speak at meetings of the board but may not vote, shall keep what he or she learns confidential, and may be asked to leave for any part of a meeting where the board is discussing a conflict of interest or takes legal advice that must stay privileged.

8.3 The Company shall not, without Merrowdown's written consent:

(a) change the Articles or the rights of any of its shares;

(b) issue any shares or options, other than options granted from the option pool under the share option plan;

(c) sell the Business or its intellectual property, or grant an exclusive licence of it;

(d) borrow more than £250,000 in total;

(e) pay a dividend; or

(f) change the nature of the Business.

9. Information

9.1 The Company shall give each Investor:

(a) its annual accounts within 120 days after the end of each financial year;

(b) its management accounts for each month within 20 days after the end of that month; and

(c) its budget for each financial year before that year starts.

10. Costs

10.1 The Company shall pay the Investors' reasonable legal costs of the investment, up to £25,000 plus VAT, when Completion takes place. Otherwise each party pays its own costs of this agreement.

11. General

11.1 Each party shall keep this agreement and the Disclosure Letter confidential, except where the law requires otherwise or to tell its professional advisers.

11.2 A notice under this agreement must be in writing, and delivered by hand or sent by email to the address of the party at the head of this agreement, or to another address it has given in writing.

11.3 This agreement and the Disclosure Letter are the whole agreement between the parties about the investment. They replace the term sheet of 18 September 2026. A change to this agreement must be in writing and signed by all the parties.

11.4 This agreement may be signed in counterparts, including by electronic signature, which together make one agreement.

11.5 This agreement, and any dispute arising from it, is governed by English law, and the courts of England have exclusive jurisdiction.

Schedule 1 – The Investors and their Series A Shares

Investor	Series A Shares	Subscription money
Merrowdown Ventures LLP	1,875,000	£3,000,000
Pellridge Capital Partners LP	625,000	£1,000,000
Total	**2,500,000**	**£4,000,000**

Schedule 2 – The Warranties

1. **Shares and capital.** The Company's issued shares are the 9,000,000 ordinary shares shown, with their holders, in the capitalisation table dated 24 September 2026, all fully paid. The only options are the 1,000,000 under the share option plan, of which 640,000 have been granted. No one has a right to be issued shares in the Company other than under that plan.
2. **Accounts.** The Company's last statutory accounts, and its management accounts to 31 August 2026, were prepared with reasonable care, give a fair view of its finances and are not misleading.
3. **Changes.** Since 31 August 2026 the Business has been carried on in the ordinary way. There has been no material fall in its revenue, and the Company has made no unusual contract or borrowing and paid no dividend.
4. **Intellectual property.** The Company owns, or has a licence to use, all the intellectual property it uses in the Business. It owns the copyright in the software of Kestrel Rota and the desktop app, and everyone who wrote any part of it was either employed by the Company or has assigned his or her rights in it to the Company in writing.
5. **Software and open source.** No software used in the Business is used in a way that obliges the Company to make its own source code available to anyone, and the Company has kept to the terms of every open-source licence that applies to it.
6. **Customers.** No customer has given notice to end its contract, or complained in writing of a serious failure. No customer contract lets the customer end it, or change its terms, because of this investment or a change in who controls the Company.
7. **Employees and contractors.** The details of employees and contractors the Company has given the Investors are accurate. The Company owes no unpaid wages or bonuses, and no employee has brought a claim or grievance against it in the last three years.
8. **Data protection.** The Company has kept to the law on personal data in the Business. It has had no loss or misuse of personal data that the law required it to report, and it has the right to use the data it processes in the way it does.
9. **Property.** The Company's only property is its office at Kingfisher Yard, which it holds on a lease with no unusual terms, and it has kept to the terms of that lease.
10. **Disputes and compliance.** The Company is not in, and has not been threatened with, any dispute. It holds the licences and registrations it needs, can pay its debts as they fall due, and has paid its VAT and payroll taxes on time.

Signed

This agreement has been signed by the parties, or on their behalf, on the date written at the start of it.

Signed for and on behalf of
Kestrel Software Ltd

Ines Kowalczyk

Ines Kowalczyk, Director
Date: 23 October 2026

Signed by
Ines Kowalczyk, as a Founder

Ines Kowalczyk

Ines Kowalczyk
Date: 23 October 2026

Signed by
Tobias Wren, as a Founder

Tobias Wren

Tobias Wren
Date: 23 October 2026

Signed for and on behalf of
Merrowdown Ventures LLP

Felix Amberley

Felix Amberley, authorised signatory
Date: 23 October 2026

Signed for and on behalf of
Pellridge Capital Partners LP

Maya Lindqvist

Maya Lindqvist, authorised signatory
Date: 23 October 2026